

Matthews West — Professional Services Agreement

Reviewed against the Starlight precedent. The commercial terms are clean; the legal body is not, and two clauses are ones KOR has already refused elsewhere.

BOTTOM LINE

Not good to sign as drafted

The fee and scope are exactly what KOR proposed — untouched. Everything of concern is in the legal body of the agreement, which KOR has never agreed to before and which is materially worse than the terms KOR negotiated with Starlight four months ago.

× THE TWO BLOCKERS

- 1. There is no limitation of liability anywhere in the document.** Every one of the fourteen references to liability is a definition, the indemnity, or an insurance requirement. KOR's exposure is uncapped. At Starlight, KOR negotiated a hard cap of **the lesser of two times the Price and \$500,000**.
- 2. Clause 12.1 assigns all intellectual property to the Owner** and waives KOR's moral rights. At Starlight, KOR reversed exactly this clause so that KOR reserves title and the Owner receives a licence limited to that project.

Fee & scope — unchanged

Liability — uncapped

IP — assigned away

Insurance — unresolved

THE ORIGINAL QUESTION

There is no previously signed agreement to compare against

Rory asked for a diff against the previously signed agreement. That document does not exist on our systems. Rory's own read is almost certainly right: *we must have never received a signed copy back*.

Searched, all of it server-side on FS01 rather than across SMB:

- The whole of E:\Management — every *PSC*, *Matthews*, *Oceanfront*, *Agreement* and *Professional Services*.
- The complete 31206-01 (Lot 0 Oceanfront Squamish) project tree — same patterns.

The only Matthews West documents that exist anywhere are KOR's own fee proposal dated **11 September 2025**, held in two places: Management\Project Management\03 Residential\31206 Matthews West Lot 0 Squamish\ as PDF, and Management\Project Opportunities\Word Documents for Awarded Projects\ as DOCX. Our copy carries blank signature lines for both KOR and Matthews.

► WORTH ACTING ON SEPARATELY

The newest Starlight file is KOR's May 2026 version with Jim DesRoches named in the signature block. Nothing on file confirms a countersigned copy ever came back from Starlight either — which is precisely how the Matthews one went missing. Both are worth chasing before the pattern repeats a third time.

WHAT IS NOT IN DISPUTE

Schedule A is our own proposal, reproduced without change

The Schedule A attached to the new contract is KOR's 11 September 2025 fee proposal. A normalised text diff of the two returns a single difference: the law firm's document stamp, 113034.177516.MPC.30804630.4. Nothing in the fee or scope has been altered.

STAGE	FIXED FEE
Schematic Design to DP Application	\$29,000
Design Development to BP Application	\$60,000
Working Drawings to Issued for Construction	\$20,000
Construction Administration & Field Reviews	\$30,000
Total base fees	\$139,000

On a basis of 408,000 sq.ft., adjusting proportionally if the final area moves. Includes up to 50 field review visits, \$500 per visit thereafter covering up to 2.0 hours on site, plus a recommended \$1,500 allowance for normal disbursements.

THE BENCHMARK

Starlight — the precedent Jim already set

Jim DesRoches negotiated the Starlight Investments services agreement for **31180-01, 7360–7376 Halifax Street, Burnaby**. The complete trail sits in that job's 01 General\Proposals & Contracts folder: Starlight's original, KOR's marked-up versions, a separate insurance markup, a formal compare document, the negotiation emails, and the ACEC-BC position paper and APEGBC intellectual-property guidelines that were used as the argument.

Diffing Starlight's original against the final May 2026 version gives KOR's negotiated positions in KOR's own words. That is the yardstick this review uses — not a generic legal checklist, but terms this firm has already won.

► THE HEADLINE WIN

Starlight opened at "*the greater of two times the Price and \$5,000,000, but in no event greater than \$10,000,000.*" The executed clause 8.4 reads "*the lesser of two times the Price and \$500,000.00.*" That is the single most valuable sentence in our contract history, and it is the one the Matthews agreement has no equivalent of at all.

THE COMPARISON

Matthews measured against what KOR won at Starlight

On nearly every point that matters, the Matthews draft sits where Starlight's *opening* position sat.

ISSUE	KOR'S STARLIGHT POSITION (WON)	MATTHEWS DRAFT	RISK
Limitation of liability	Lesser of two times the Price and \$500,000 (§8.4)	No cap of any kind exists in the document	Critical
Intellectual property	Consultant reserves all title; Owner gets an irrevocable licence limited to this project	Full assignment of all Deliverables and IP to Owner, plus waiver of moral rights (12.1)	Critical
Indemnity scope	Carve-out added: does not apply where Claims are caused by the Owner's or its other consultants' errors or negligence	No carve-out. Covers negligence <i>plus</i> any breach of obligation <i>plus</i> any breach of representation or warranty (9.1)	Critical
Corporate shield	Claims limited to the corporation — no personal liability for officers, directors, employees or agents	Absent	High
Compliance with laws	Softened to acting "in accordance with the Standard of Care in seeking that" the work complies	Absolute covenant — "shall comply with all Applicable Laws" (4.1, 4.2)	High
Permits and approvals	Obligation to secure approvals and close authority conditions deleted; narrowed to preparing applications per Schedule A	"shall obtain all applicable permits, licences, exemptions, consents and approvals" (4.2)	High
Waiver of subrogation	Limited to the general liability policy only — explicitly not professional liability	All policies, with Owner named as additional insured on all (10.3)	High
Standard of care	"in the best interests of the Owner" struck out	Adds "efficiency" and requires re-performance at KOR's cost if Deliverables fail "any of the Specifications" (4.1)	High
Withholding of payment	Deleted: Owner not responsible for paying if "unsatisfied with the Consultant's performance"	Owner may withhold whatever "in the opinion of Owner" protects it from loss (5.7)	Medium
Suspension	Owner pays reasonable restart costs; Consultant may terminate if suspended beyond 60 days	Stand-down at KOR's sole cost — safety review in 5 business days, corrective plan in 10 (§15)	Medium
Automobile insurance	Requirement deleted	\$2,000,000 required (10.1.2)	Low
Definition of "Claim"	Narrowed — "past, present and future", "substantial indemnity basis", professional fees and investigation costs all struck	"Liabilities" (1.15) carries the same broad shape, uncut, including legal fees	Medium

ALSO WORTH RAISING

Four smaller things

- **The contracting entity is not properly named.** The preamble reads "[*Oceanfront Squamish* ("Owner"))" — a stray bracket and no legal entity. Our proposal is addressed to Matthews West c/o *Oceanfront Squamish Developments LP*. Who KOR can actually claim against depends on getting this right.
- **The insurance schedule is not final.** Their own drafting note survives in the document at 10.1: "[*NTD: Subject to review by Matthews' insurance consultants on a case by case basis.*]" The numbers will move, so raising ours now costs nothing.
- **Professional liability cover must be checked.** Clause 10.1 requires \$5M general liability and \$2M errors and omissions, with a three-year tail on claims-made policies. That needs confirming against KOR's actual policy before signature, not after.

- **The agreement is back-dated.** Made "as of July 22, 2026" but issued 17 August 2026.

RECOMMENDATION

What to do with it

1

Do not sign

Return it marked up. The commercial terms are agreed, so nothing about the fee is in dispute — this is purely the legal body.

2

Lead with the two blockers

The liability cap and the IP assignment. Both have a precedent: KOR carried the identical points at Starlight and won them, which makes them a stated firm position rather than a negotiating posture.

3

Send insurance to the broker

Clause 10.3's waiver of subrogation across all policies, and naming the Owner as additional insured on the professional liability policy, are the items an E&O carrier typically will not accept. Starlight's final wording limits both to the general liability policy — that language can be lifted straight across.

4

Fix the entity name

Before signature, not after.

RORY'S SECOND QUESTION

A clause library is worth building, and most of it already exists

Rory's suggestion — feed in the contracts we have already worked through, and vet new ones against them — is sound, and the Starlight file is most of the raw material. It is a complete worked example: the opening position, KOR's markups, the reasoning, the professional-body references used as argument, and the final language, all in one folder.

The useful artefact is a single KOR contract position sheet: the dozen or so clauses this firm has actually negotiated, each with the winning wording quoted verbatim and the reason it matters. A new contract then gets checked against a known standard in twenty minutes instead of read cold.

✓ WHAT WOULD MAKE IT STRONGER

Starlight alone gives one data point per clause. *Project Opportunities* also holds agreement documents from Wesgroup, Anthem, Onni, Canderel and Strand. Which of those were genuinely fought through to signature — rather than received and filed — is the one thing the file system cannot tell us, and is worth ten minutes of Jim's memory before the sheet is written.

Prepared 24 August 2026 for Rory Beirne, in response to Carly Simmons' 17 August transmittal. Source documents: the forwarded contract and its Schedule A; KOR fee proposal 31206-01 dated 11 September 2025; Starlight agreement 31180-01, original and executed versions.

Method: text extracted from the shipped PDFs and diffed after whitespace normalisation. Every clause reference above was read in the document, not inferred.